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Report Highlights:

Post estimates that in marketing year (MY) 2020/2021 (July-June), total Polish rapeseed production will reach 2.75 million metric tons (MMT), a 17-percent increase over MY 2019/20. The production increase stems from favorable weather conditions during the fall 2019 planting season, mild winter weather conditions, early vegetation in spring 2020, and adequate precipitation from May to June 2020. Post estimates that the MY 2020/2021 area planted for rapeseed is upwards of 800,000 hectares (HA), a seven-percent decrease from the previous MY. Yields will increase over MY 2019/20 due to earlier than usual nitrogen application and Poland's temporary exemption for neonicotinoids plant protection products for rapeseed production granted by the European Commission (EC).

General Information

Production

Post estimates that in MY 2020/2021, rapeseed production will reach 2.75 MMT, a 17-percent increase over MY 2019/20. Favorable fall 2019 planting conditions, mild 2019/20 winter weather, early spring 2020 vegetation, and adequate rainfall from May to June 2020 created favorable conditions for rapeseed development. Post estimates Poland's rapeseed area planted at about 800,000 HA, a seven-percent decline from the previous MY. In March and April 2020, major rapeseed production areas in northwestern Poland were negatively affected by drought, but plants were already mature and were able to temporarily withstand dry conditions. Post estimates that average MY 2021/20 rapeseed yields will be 3.44 metric tons (MT) per HA, up from 2.73 MT in MY 2019/20 (Table 1).

Poland is the EU's third-largest rapeseed producer, following Germany and France. Rapeseed constitutes 95 percent of the Poland's total oilseed area, most notably in the Lubelskie, Dolnośląskie, Kujawsko-Pomorskie, Mazowieckie, Opolskie, Pomorskie, Warmińsko-Mazurskie, Wielkopolskie and Zachodniopomorskie provinces, which all have favorable climates and soil conditions for rapeseed.

Poland's lower rapeseed area in MY 2020/2021 reflect EU trends away from rapeseed acres in favor of other cash crops. Rapeseed remains the dominant feedstock for biodiesel production, although EU policy changes favoring second-generation biofuels creates uncertainty among rapeseed growers. In 2018, the EC granted Poland a temporary derogation for neonicotinoids plant protection products for rapeseed production. In 2019, the Polish Association of Rapeseed and Protein Plant Producers (ARPPP) pushed the Government of Poland (GOP) to seek another neonicotinoid exemption, citing weather-related challenges, which the EC also approved. According to the ARPPP, Poland lacks enough registered pesticides to effectively protect its rapeseed crop from a variety of pests.

Table 1: Production, cultivated area and yield of rapeseed

Marketing year starts in July	MY 2016/2017	MY 2017/2018	MY 2018/2019	MY 2019/2020	MY 2020/2021*
Cultivated area (000 hectares)	823	914	845	860	800
Yield (MT/hectare)	2.70	2.94	2.61	2.72	3.44
Crop (000 MT)	2,219	2,691	2,202	2,350	2,750

Source: Main Statistical Office

*Post estimate

Utilization

Rapeseed Oil

Post estimates that the MY 2020/21 rapeseed crush will be upwards of 2.7 MMT, a ten-percent increase over the previous year. The rapeseed crush is determined by vegetable oil demand for human consumption and demand from the Polish biodiesel industry. Rapeseed oil production for human consumption remains almost constant, while demand growth from the biofuel sector can change relative to Poland's National Indicative Target (NIT). For several years, rapeseed oil for human consumption has not exceeded 400,000 MT. Post estimates, that in MY 2020/2021, rapeseed oil for biodiesel will

grow by six percent over last year due to higher rapeseed oil production of. In June 2020, the average industrial rapeseed purchase price was PLN 1,550 per MT (\$421), almost unchanged from June 2019.

Protein Meals

Soybean meal is the primary vegetable protein for livestock nutrition. In MY 2019/2020, soybean meal accounted for 56 percent of vegetable protein meal in feed rations, followed by rapeseed meal at 24 percent, sunflower meal at 10 percent, legumes at seven percent, and others at three percent. Post estimates that in MY 2020/2021, soybean meal demand will decline following a projected three percent poultry production drop stemming from the Covid-19 crisis. The Polish poultry will still continue to use imported soybean and sunflower meals.

Post estimates that in MY 2020/21, rapeseed meal production (a byproduct of the crush) will reach 1.55 MMT, a five-percent increase over MY 2019/2020. The higher meal production stems from the higher output of rapeseed. Swine and poultry are the main consumers of rapeseed meal.

Poland's 2006 Feed Act essentially banned the use of genetically engineered (GE) feed ingredients, including GE soybean meal. However, pressure from the Polish feed industry and livestock producers has discouraged the GOP from ever enforcing the provisions under the 2006 Act which ban GE feeds. The most recent postponement of the GE feed ban is valid through December 31, 2020. The GOP is trying to promote domestic plant proteins (mainly legumes) to reduce and replaced imported GE soybean meal. In 2019, the annual subsidy payments for domestic legume production reached PLN 795.8 (\$200) per HA (up to 75 HAs) and PLN 382.9 (\$96) per HA (over 75 HAs). According to the Polish Institute of Rural Economics (IRE), total 2019 legume production reached 313,000 MT, a seven percent decline from 2018. The lower legume output stemmed from a three-percent decline in the area planted, as well as lower yields.

Trade

Rapeseed

In MY 2018/19, Poland was a net rapeseed importer because of lower domestic production. Total MY 2018/2019 imports reached 603,000 MT (Table 2), with the Czech Republic and Ukraine as Poland's major suppliers. In the first nine months of the MY 2019/20 (July-March), Poland imported 411,000 MT of rapeseed, a 21-percent decline from the same period of MY 2018/19.

Table 2: Imports of rapeseed (000 MT)

Marketing Year starts in July	MY 2016/2017	MY 2017/2018	MY 2018/2019	Jul-Mar 2019/2020	Jul-Mar MY2019/20 vs. Jul-Mar MY2018/19 (%)
World	643	523	603	411	-21
Czech Republic	111	128	171	117	-5
Ukraine	199	65	106	151	51
Romania	51	74	91	39	-75

Source: TDM

Total MY 2018/19 rapeseed exports reached 292,000 MT, a 13-percent decline from MY 2017/18 (Table 3). All exports were sent to other EU markets, with Germany as the main export destination. In the first nine months of MY 2019/20 (July-March), Poland exported 286,000 MT of rapeseed.

Table 3: Exports of rapeseed (000 MT)

Marketing Year starts in July	MY 2016/2017	MY 2017/2018	MY 2018/2019	Jul-Mar 2019/2020	Jul-Mar MY2019/20 vs. Jul-Mar MY2018/19 (%)
World	236	337	292	286	31
Germany	221	300	274	266	29
Czech Republic	11	26	17	16	77
Norway	0	0	2	2	37

Source: TDM

Rapeseed Meal

Poland is a net rapeseed meal exporter, mostly to Western Europe. In MY 2018/19, Poland exported 571,000 MT of rapeseed meal, ten percent less than in MY 2017/2018. During the first nine months of MY 2019/20 (July-March), Poland exported 518,000 MT of rapeseed meal, a 19-percent increase over the same period in MY 2018/19, mainly on higher exports to Germany and Czech Republic. In MY 2018/19, Poland imported 35,753 MT of rapeseed meal, mainly from Germany and Ukraine (Table 4). In MY 2018/19 rapeseed meal imports declined due to higher domestic production. During the first nine months of MY 2019/20 (July-March), Poland imported 19,611 MT of rapeseed meal, 24 percent less than the same period in MY 2018/19, mainly because of lower imports from Ukraine and Germany.

Table 4: Imports of rapeseed meal (000 MT)

Marketing Year starts in July	MY 2016/2017	MY 2017/2018	MY 2018/2019	Jul-Mar 2019/2020	Jul-Mar MY2019/20 vs. Jul-Mar MY2018/19 (%)
Total	39	23	36	20	-28
Germany	23	14	16	8	-36
Ukraine	14	9	14	7	-53
Belarus	0	0	5	5	n/a

Source: TDM

Soybean Meal

In MY 2018/19, Poland imported 2.79 MMT of soybean meal, 14 percent more than the previous year, due to demand growth from the poultry sector (Table 5). Soybean meal imports were valued at over \$900 million, 90 percent of which were sourced from South America. Soybean meal demand remains strong because Poland is the EU's largest broiler and turkey producer. Post estimates that in MY 2019/20, soybean meal imports will decrease by three percent, due to lower demand from the poultry industry following the Covid-19 pandemic. Argentina remains Poland's primary soybean meal supplier. During the first six month of MY 2019/2020, Argentine soybean meal imports increased by 25 percent.

Table 5: Volume of Imports of Soybean Meal (000 MT)

	MY Begins in October			Market Share (%)			MY2018/19 vs. MY2017/18 (%)
	MY 2016/2017	MY 2017/2018	MY 2018/2019	MY 2016/2017	MY 2017/2018	MY 2018/2019	
World	2,448	2,439	2,788	100	100	100	14,31
EU 28	131	175	220	5,36	7,19	7,89	25,28
Argentina	1,718	1,319	1,144	70,18	54,09	41,02	-13,30

Brazil	65	393	685	2,66	16,12	24,59	74,39
Paraguay	439	335	353	17,91	13,74	12,67	5,40
Ukraine	11	26	167	0,44	1,09	6	532,11
Germany	101	134	138	4,13	5,49	4,93	2,74
United States	28	87	128	1,14	3,56	4,60	47,70
Netherlands	11	23	63	0,44	0,93	2,26	176,89
Russia	36	82	42	1,46	3,37	1,50	-49,02
Canada	0	0	18	0	0	0,63	0
Bolivia	16	7	14	0,66	0,27	0,51	117,99
Belarus	0	5	11	0	0,21	0,40	118,74

Source: TDM

In MY 2018/19 soybean meal imports from the United States reached 128,322 MT, a 48-percent increase over MY 2017/18. Polish U.S. soybean meal imports reached \$46 million, a 21-percent increase over the previous MY (Table 6). During the first six month of MY 2019/20, Poland did not import any U.S. soybean meal.

Table 6: Value of imports of soybean meal (\$000)

	MY Begins in October			Market Share (%)			MY2018/19 vs. MY2017/18 (%)
	MY 2016/2017	MY 2017/2018	MY 2018/2019	MY 2016/2017	MY 2017/2018	MY 2018/2019	
World	918,740	1,009,475	1,033,229	100	100	100	2,35
EU 28	55,718	76,901	85,693	6,06	7,62	8,29	11,43
Argentina	632,392	531,973	409,550	68,83	52,70	39,64	-23,01
Brazil	25,769	161,652	254,531	2,81	16,01	24,64	57,46
Paraguay	164,961	139,504	132,293	17,96	13,82	12,80	-5,17
Ukraine	3,754	11,017	66,256	0,41	1,09	6,41	501,38
Germany	40,915	56,335	51,226	4,45	5,58	4,96	-9,07
United States	10,693	38,443	46,402	1,16	3,81	4,49	20,70
Netherlands	4,482	9,386	23,875	0,49	0,93	2,31	154,38
Russia	17,233	39,547	18,063	1,88	3,92	1,75	-54,32
Canada	11	0	6,742	0	0	0,65	0
Bolivia	5,564	2,535	5,774	0,61	0,25	0,56	127,75
Belarus	0	2,506	4,699	0	0,25	0,46	87,54
Denmark	3,146	4,621	3,982	0,34	0,46	0,39	-13,84
France	0	69	3,112	0	0,01	0,30	4413,22
Hungary	6,595	5,302	2,262	0,72	0,53	0,22	-57,34
Serbia	1,715	2,276	1,456	0,19	0,23	0,14	-36,05

Source: TDM

Attachments:

No Attachments.